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India Strategy

India Strategy Outlook: Little bits of everything ... Cut India to neutral

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Indian equity story for most of the last half-decade has been scripted in cinematic strokes: record-breaking SIPs, unprecedented govt capex, and China+1 narrative that felt like it was India's destiny. Enter 2026, and the ink is beginning to run thin. In our view, this is not a crisis moment, but rather burdened by its own past. It's the year that promises many things: few rate cuts, a slight return of private capex, and a tentative trade deal - but we believe these "little bits of everything" do not carry enough momentum to keep the India story at heights we've been used to seeing. So we're cutting India to neutral, not because the story has turned negative, but because it might be a bit quieter than one we've seen before.

A fairytale ends, back to reality: The last few years have seen the government use the most potent tools in its arsenal to keep the Indian growth seem like a fairytale. What remains now is 50-75 bps of further rate cuts at best and the fading effects of the tax and GST cuts already undertaken in 2025. The post-pandemic script of "accelerate capex, flatten subsidies, shrink deficit" has now neared its end. Tax collections have turned softer, revenue expenses inelastic and the election giveaways a little too much. India finds itself in a choice between flatlining capex or keeping deficit steady with levels still materially above the 3.5-4% range seen from FY15-19. As the government's hands retreat, a part return of the private capex is on the cards but not enough to sway the momentum. The capacity utilization levels have kept hovering around 75% for 4 years. Moreover, the Herculean SIP flows are now structural part of the story, and insufficient to keep it going.

H1-B cap and the trade trap: With the US-China truce extending well into November 2026, the tariff advantage erodes and an extensive China+1 exodus from the northern neighbor should be stalled, unhelpful for key exporters. A US-trade deal continues to be mired in contentious issues of agri, dairy and even seafood. A positive momentum in terms of removal of 25% punitive tariffs is on the cards, but the effects are unlikely to last beyond a month. A much awaited trade deal, on the other hand, will likely be volatile and ever-changing. President Trump has proved he can back up his H1-B rhetoric with action, and even a part of the $100k fees order passing legal challenges can be a big drag for IT players. Rising AI valuations pose another risk, because if the bubble collapses this year, the ripple effects will not only hurt the hundreds of domestic AI startups riding the funding wave, but also mute foreign flows for another year.

The music doesn't stop, but the volume is down: India enters 2026 as one of the most expensive markets globally, with >20x forward P/E and a high15.1x being the average across 15 key economies we tracked. We're back to a phase of heftier valuations across markets which have in the past rewarded cheaper markets well, as opposed to the phase starting FY24 when more expensive markets attract flows and get costlier. Moreover, our report yesterday discusses how years with limited catalysts are more of valuation play and catch-up trades rather than earnings driven. While 2025 was a modest year for earnings - even after assuming a 13.5% earnings CAGR over FY28 and a 19x multiple on 2-year forward EPS we get a Nifty target of 28,100 which is a modest return of 7.5% this year. As we focus on absolute returns - this makes us cut India to neutral.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

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DETAILS

INVESTMENT IMPLICATIONS AND SECTORAL CALLS

2026, will be a year characterized by a little bit of everything, a collection of small plot lines, but the threads never quite weave into a single, compelling theme. And that absence of a dominant story-line is, in many ways, the story itself. Against this backdrop, we're taking a more measured view on India and while the market still looks set for positive returns, we expect it to be capped. So we're cutting India from our selective buy view last year to a neutral view, not because the franchise has lost appeal, but because policy levers are largely exhausted and macro as reflected by real GDP growth is closer to a peak.

We set our Nifty target at 28,100, which reflects a high single digit (7.5%) return expectation this year. After a lackluster year for earnings, even after assuming a 13.5% earnings CAGR over FY26-FY28 and a PE multiple of 19x, on two year forward earnings (FY28E) we get limited room for large returns. We see immense volatility led by geopolitical events that will continue to dominate headlines. US Trade treaty signing will likely drive a swift upmove, which will fade eventually as policy flux will likely continue through the year. In such phases of markets with modest headline returns laggard trades usually work. We discussed this in this note a day back. We are Neutral Mid-caps as well. Domestic flows will likely sustain - but heavy IPO calendar and stake sales should continue to limit valuation expansion on a sustained basis.

We start the year with continuing our overweight on financials, Telecom and select picks in consumption sectors (discretionary). We move to a modest overweight on IT, as we see modest expectations. We introduce real estate as an overweight sector. IT and real estate were the worst performers in 2025. We downgrade consumer staples to equal-weight on staples given most catalysts have played their part already and given continued disruption risk as organized channels accelerate fund raise. We retain equal weight on metals, healthcare and utilities and stay underweight Industrials.

THE YEAR OF MANY HARSH REALIZATIONS

#1 THE CATALYST VOID: 2026 BRINGS NO NEW TAILWINDS

The first step whenever we start to pen down our outlook is lay out a list of all possible events that can emerge during the year, and their probabilities along with potential impact. As we thought of things coming up this year, a sense of unease emerged: after a dull end to 2025, what fresh can 2026 bring? And that's where we're stumped - we don't see an extensive positive momentum from prior years' aggressive government capex cycle - it may only moderate from here, tax cuts and GST cuts leave little room for any major further growth-fueling reform, major rate cuts (125 bps) are already behind and we may see an additional 50-75bps at best, pay commission is unlikely to be implemented in time given the fiscal room available, and the demand environment, too, does not seem superbly optimistic. No major global tailwind is in sight, GDP numbers were already excellent this year that failed to lift up the spirits, SIP flows despite being strong aren't adding much boost to markets, and foreign flows are unlikely to be back in droves amidst a volatile backdrop.

With all of that, the only major potential positive in sight that comes to mind is: a trade deal with the US.

But let's again appeal to our knowledge and experience: do we see even a trade deal being stable and improving things materially? At this juncture, do we see it as a game-changer? As much as US would boast about it, the agreements with Japan and UK in 2025 were not FTAs. In fact, 2025 was all about signing trade frameworks - signaling intent but keeping things unchanged for a vast swathe of products traded between countries. These frameworks merely served the purpose of proving intent of lowering deficit; which the US used to lower the reciprocal tariffs on those countries. Unlike FTAs which are approved by Congress and are permanent in nature, these frameworks are through executive order which is volatile and may evolve quickly. Hence, we might not even be looking at something permanent in 2026. The only positive that has a high probability of happening is dropping of punitive tariffs (additional 25% for Russian oil purchase), and perhaps lowering of the 25% reciprocal tariffs to some degree.

But that merely restores us to the state around mid of 2025, it does not give India the extra edge, especially if you look at reciprocal tariffs with a comparative lens (which should be the case) with the South East Asian economies, rather than an absolute lens.

From the events perspective, one thing is clear to us - India will navigate much of this year without any structural drivers or catalysts coming to the rescue of its markets.

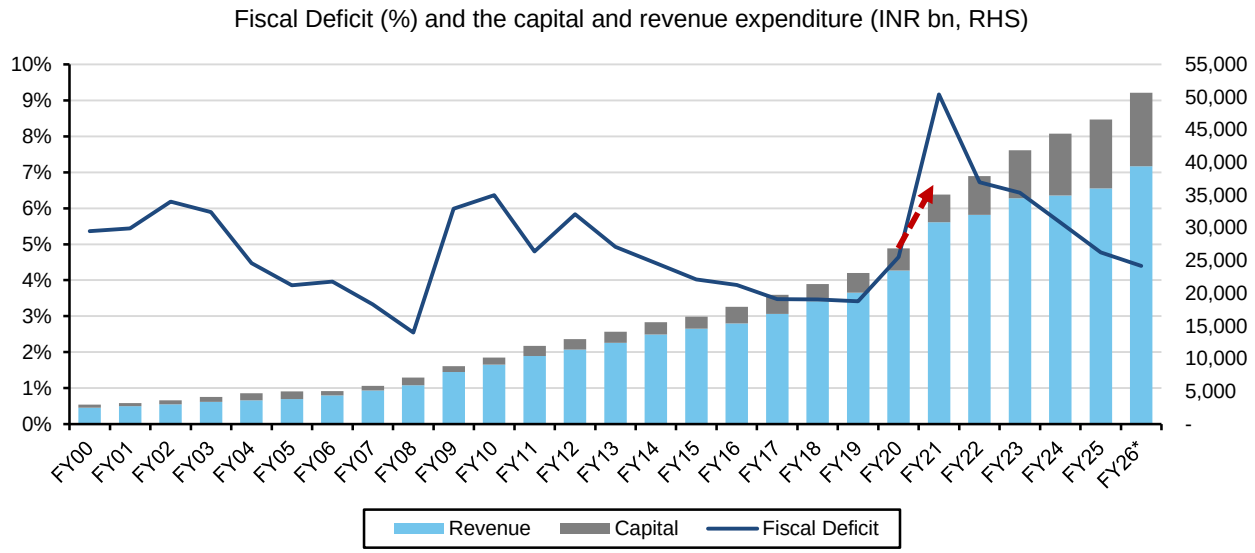
#2 THE DIMINISHING POLICY SPACE: THE PHASE OF WANING GOVERNMENT CONTROL

2026 could well mark the beginning of a phase of reducing flexibility room from the policy side. Consider this: the last five years, despite a big COVID shocker, gave enough breathing room to the government. The opening move in this phase of continued advantage was, in fact, due to the pandemic: the sudden plunge in growth and heightened subsidies from the government went without any eyebrow raise from markets, international rating bodies, or elsewhere. The fiscal deficit inched to 9.2% of GDP in FY21, from 3.4% in FY19.

This enabled a phase of a win-win situation for the government. From FY22 onward, subsidies could be reduced, keeping revenue expenses 'flattish' and any incremental expense the government had the room for could be allocated almost entirely to capex, fueling growth to a large degree year after year. This is evident through the continuously increasing share of central government capex in overall capital formation within the economy (Exhibit 2). Even with the overall expenses growing at a 6-8% trend (in line with pre-COVID history), this still meant a big jump in capital expenses. And due to the same reason, India saw a gradual return to the fiscal deficit trend (Exhibit 1) along with the government fueling growth.

Starting 2026, that changes. And you might ask: why so?

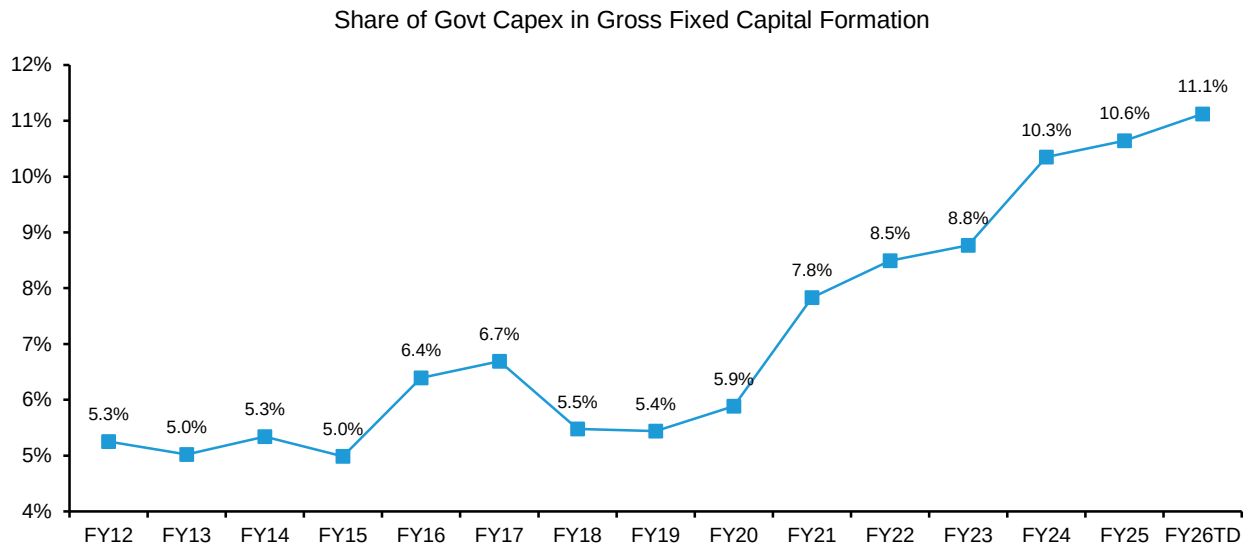
EXHIBIT 1: **With expenses significantly elevated, and fiscal deficit still significantly above FY15-19 levels, we think maintaining the downward slope from here will require a tightening on at least one front**



FY26 data is as per budgeted estimates. Rest are actuals
Source: India budget documents, MOSPI, CGA, Bernstein Analysis

EXHIBIT 2: **Central Government has heavy lifted much of the capital formation over the last 3-4 years, and a gradual lifting of that remains a key threat to India's growth**

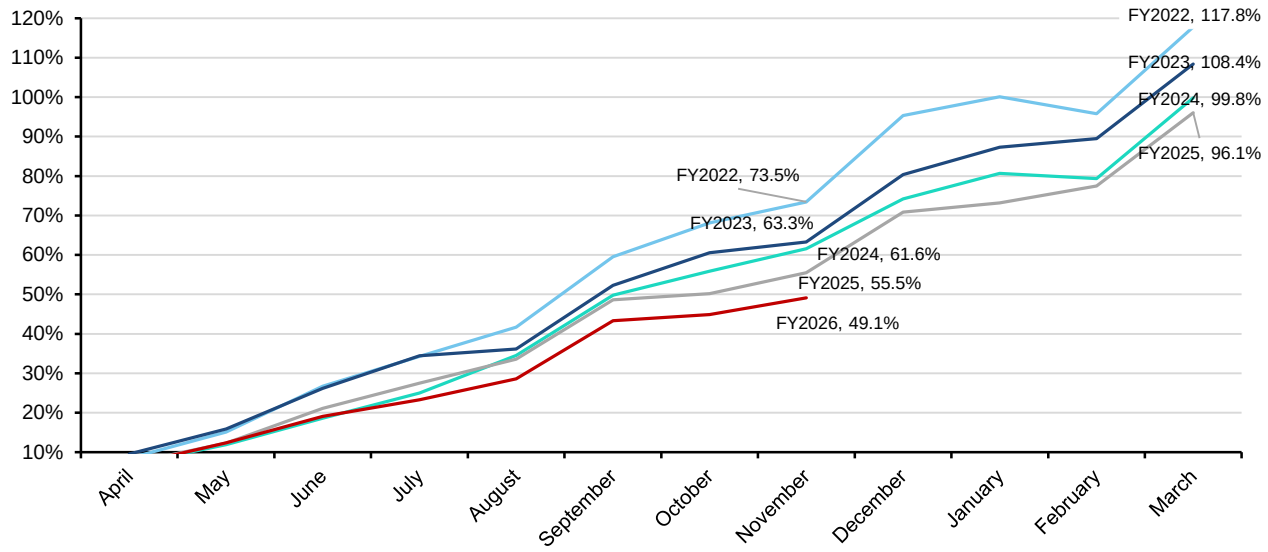
The share given here is just that of central government capex. Including state governments and indirect effects of government capex on capital formation, the share of private sector is further reduced



Source: MOSPI, CGA, Bernstein Analysis

The first and the most obvious reason is the sudden return of subsidy focus in policy sphere. This time, in a different shape via cash transfers as election schemes - and most of those are continuing annual transfers, not one time. The second is the tax breaks (both direct + indirect) announced in 2025, that have reduced tax collections significantly this year - till November, India has reached barely 49% of its budgeted target (Exhibit 3), the lowest in ten years - even COVID phase saw higher tax collections. In the previous year (FY25) it was significantly higher (north of 55%) and India did miss its budgeted tax revenue target by 4%.

EXHIBIT 3: **Tax revenue target (share of budgeted) reached till November in the post-COVID years**



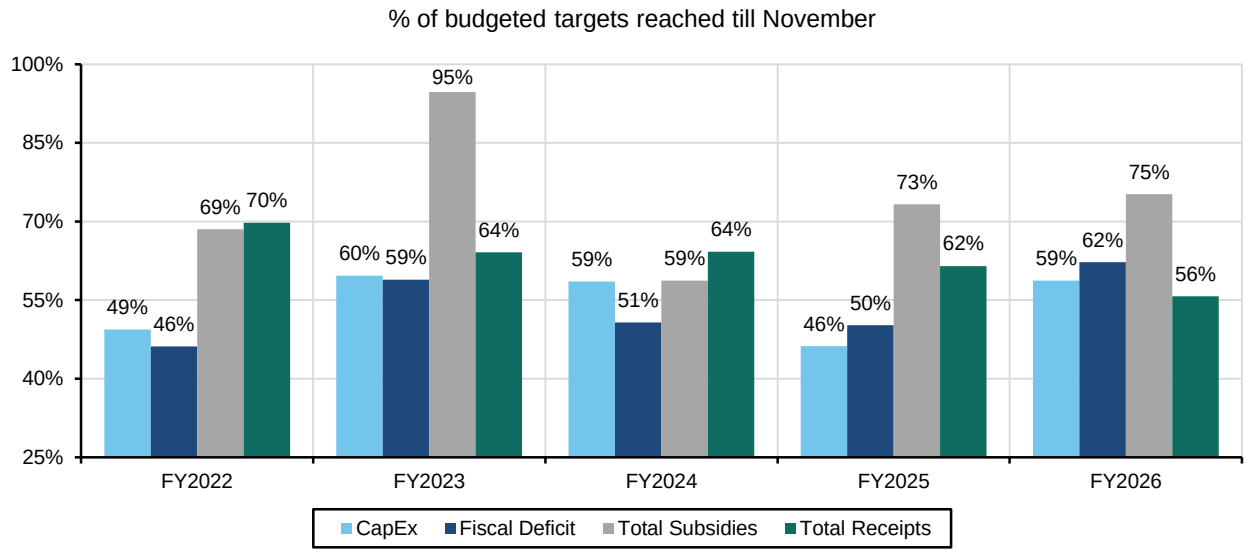
Source: CGA, Bernstein Analysis

This tax miss is happening in tandem with all expenses being on the higher side - capital expenditure outlay so far is 59% of the budgeted till November - among the highest in recent years, while fiscal deficit room is also 62% exhausted - the highest

in the post-COVID period (Exhibit 4). Subsidy outlay has also increased materially, especially in the non-food part - the total subsidies spend have already reached three fourths of the budgeted value in two thirds of the year. The revenue collection lags significantly - the last time government's total receipts were less than 60% of its budgeted target till November happened in the year 2020-21, where collections were hit by the pandemic.

EXHIBIT 4: **FY2026 has seen all expenses on the higher side till now - with Capital expenditure, fiscal deficit and subsidies among the highest in the post-COVID period**

At the same time, revenue collection has been lagging, with only 56% of the budgeted targets met with only four months to go



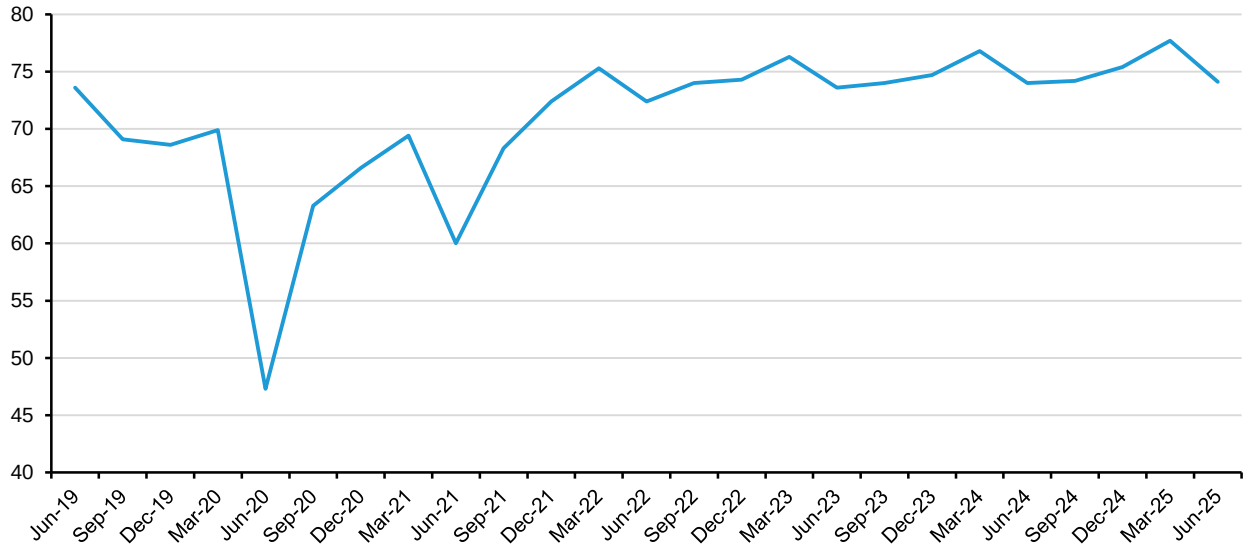
Source: CGA, Bernstein Analysis

With spending keeping up with the times but the lackluster collections not, this gets the government in a spot of bother when planning for the FY2027 budget. Moreover, the nominal GDP growth has been slow. Assuming a 9.1% nominal GDP growth this year (first two quarters are at 8.75%) and 10% next year, plus a slight miss (~5%) on collections this year and a 7.5% growth next year (in line with FY25), the capex growth still comes out moderately in single digits even if fiscal deficit target is kept unchanged at 4.4% for FY2027 as well. It takes an extreme case where we account for a recovery in tax collections, a less than modest increase in revenue expenses and fiscal deficit target staying flat in order to get to double-digit (13.7% in this case) growth. We are likely looking at a modest allocation to capital expenditure by the government - with mid-to-high singe digit growth being the biggest probability.

#3 NOBODY TO STEP IN AS GOVT LIFTS FEET OFF THE ACCELERATOR

So far so good. We've determined that with tax cuts undertaken in 2025 and a pay commission due for this year (less impactful as we believe it will be delayed and may only emerge by 2026 end at best or next year as a base case), we don't foresee too much optimism in the government capex scenario. But what about private sector fulfilling this vital need? Unfortunately, private capex still remains elusive. Even with good cash flow levels, there's no pressing need as capacity utilization remains near the recent historical values, and we don't see the GST fueled consumption boost to last so long as to necessitate massive long term investments. A structural consumption story that will drive capex is still at least 3 years away.

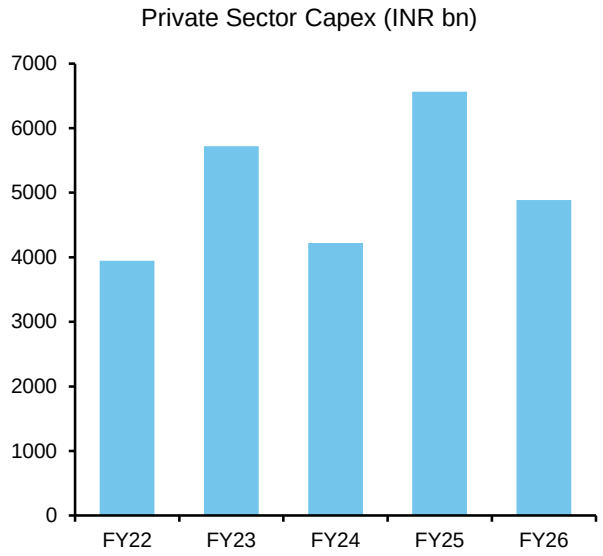
EXHIBIT 5: **Average capacity utilization across manufacturing companies (%)**



Source: RBI, Bernstein Analysis

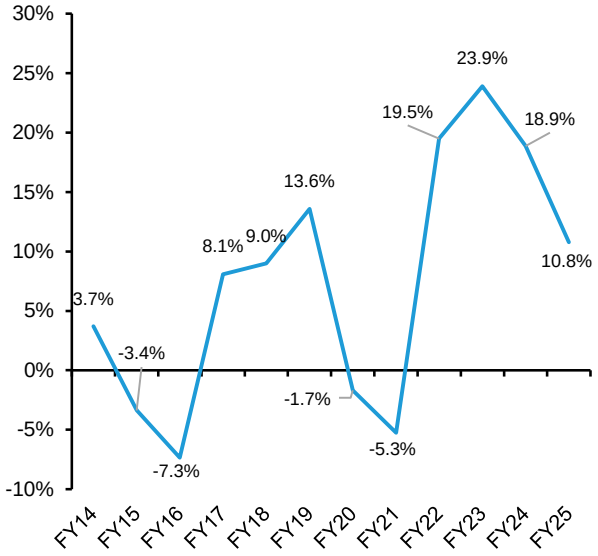
It is, perhaps because of this reason that the private sector capex does seem to be waning - whether it be in the forward looking estimates as per MOSPI's survey (Exhibit 6) or whether we look at the trends from top listed companies incurring the highest capital expenditure (Exhibit 7).

EXHIBIT 6: **Estimates of private capex as per MOSPI's forward looking survey across ~3000 companies**



Source: MOSPI's Forward Looking Survey on Private Sector Capex, Bernstein Analysis

EXHIBIT 7: **Capex growth trends across top ~1000 listed Indian companies**



The top 1,000 companies are filtered according to the top 1,000 firms incurring the most capital expenditure in the last three years combined among the entire listed space. The growth numbers are calculated as per firms that have reported the data in both time periods
Source: Bloomberg, Bernstein Analysis

THE AMBIGUOUS GEOPOLITICAL FRONT AND CHINA+1 REALITY CHECK

While 2026 is likely bringing reduced fiscal and monetary policy room on the domestic side, internationally the things are unlikely to lift mood up, if not worsen. Even with a trade deal - which is likely to be continually evolving and volatile in nature (discussed already in the first section), the year 2026 brings a shift from an era of opportunistic alignment, which India enjoyed for much of its recent history, to acute geopolitical vulnerabilities. Let's take a look at some other geopolitical developments that give us anything but conviction on India in the coming year.

#1 US-CHINA DYNAMICS - WILL THEY FIGHT, WILL THEY NOT?

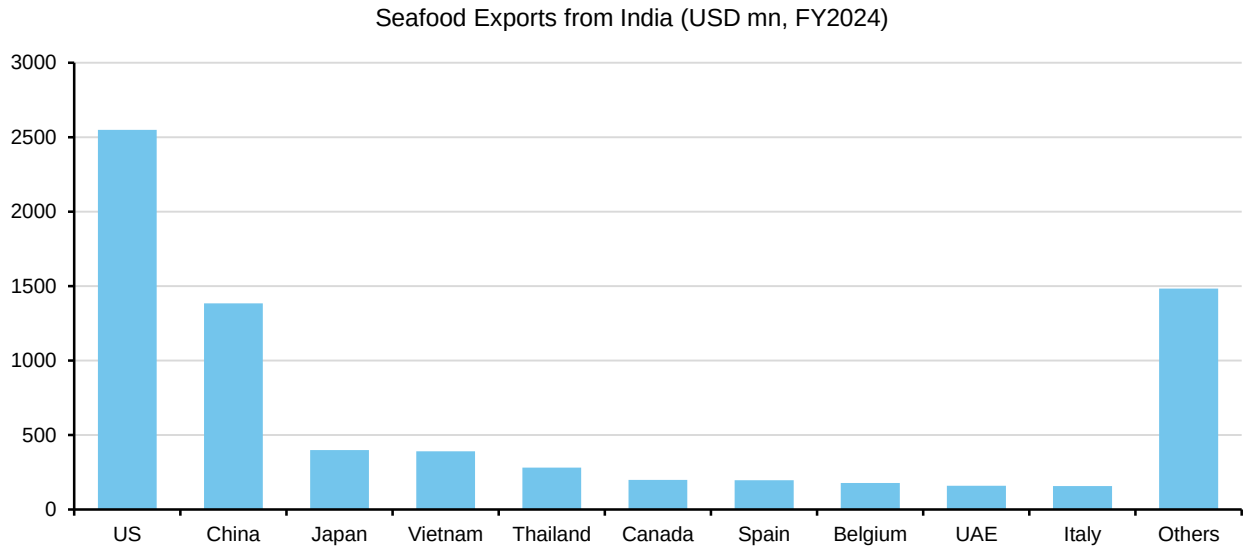
A lot of Trump-era hopes of India have hinged on the fact that a further fallout of US and China and a deep disintegration plus tariffs will provide an excellent opportunity to India to ramp up its exports and take over some of the space gradually ceded by China. However, 2025 showed us that it need not be the case, at least not at the pace which we expect. What the last year taught us was that it is entirely possible that a bigger adversary like China eventually has far lesser tariffs than India for most of its products. The "temporary" truce, that has already been extended once, now extends till November 2026, which means China will enjoy lower tariffs most of this year. Even after that, there is a lot of uncertainty on if India really can enjoy better rates. A lot can happen, the truce can extend, India's trade deal can still be elusive, the 25% punitive tariffs can stay or even something else can come up, or US-China can finally agree on a trade deal. This is the ambiguity that will keep Indian markets and exporters on their toes.

#2 VULNERABILITIES OUTSIDE THE US-CHINA SPHERE

The relationship between US and China isn't the only thing to keenly watch out for, rather there are issues even outside that ambit. While the protectionism war against China has somewhat cooled, the regulatory war against India continues to be heated up - with many non tariff barriers on the cards. There were already issues with Shrimp exports to the west - which faced issues on grounds of child labor. This is a significant area - given the labor intensive nature (that too, a lot of female employment) and India being among the top 3 shrimp exporters in the world. The seafood exports totaled c7.4 billion USD in FY2024 with 35% of them headed towards the US (Exhibit 8). Now, statements on rice dumping are making headlines in US - with threats of imposing separate tariffs for rice on grounds of India dumping it. India has rejected the allegations, but it's evident troubles are brewing. No points for guessing who the world's largest rice exporter is: it is India. Is it the US readying ground for imports of agricultural goods as part of a US-India trade deal? We don't know yet. But one can't rule out the possibility.

Since we're on the topic of dumping, China, itself, has been grappling with weak macro, property downturn and consumption. In such a situation, it's not surprising to find Indian markets flooded with cheap products from China, resulting in a price stagnation. There have been reports on this already, with India's imports from China surging helped by cheaper products (Exhibit 9). This puts a lot of areas in danger - from chemicals to steel, textiles and even electronics. Not to mention, the flooding will likely also happen in other countries.

EXHIBIT 8: **India, one of the major exporters of seafood (second in Shrimp) has almost 35% of its exports directed towards US**



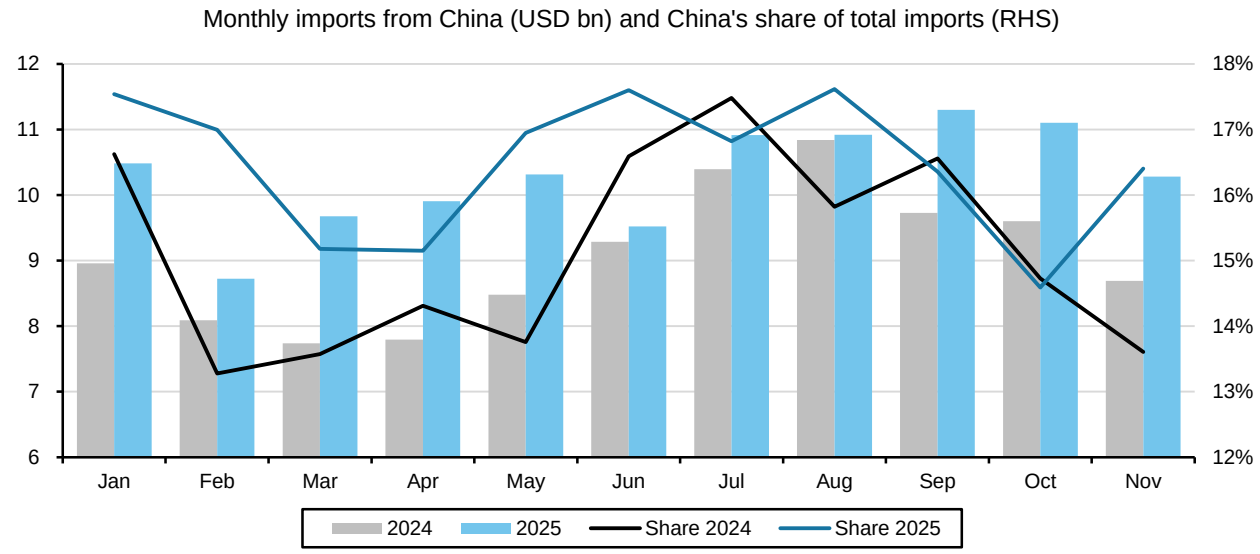
Source: Ministry of Commerce, Bernstein Analysis

On top of all that, India's dependence on China for rare earth minerals remains exceptionally high, especially for minerals required in semiconductor, EV magnets, solar panels or chips development. India tried a tricky card in 2025 after its relations with Washington hit a reset: the BRICS card. Now, committing to either move well into it or move away from it, will both come at costs. At one end is Russian crude and Chinese supply chains vital for India to grow its manufacturing, while at the other end is US that serves as the largest market for its ambitions. India's exclusion from US' Pax Silica initiative also signals that it needs a long way to go before becoming a supply chain powerhouse.

This year will bring a dilemma for India - try securing a trade deal with the US at the cost of foregoing cheap crude imports from Russia (some patterns visible in the last few months - Exhibit 10)

EXHIBIT 9: **India's dependence on China has continually increased, including its share in its import basket**

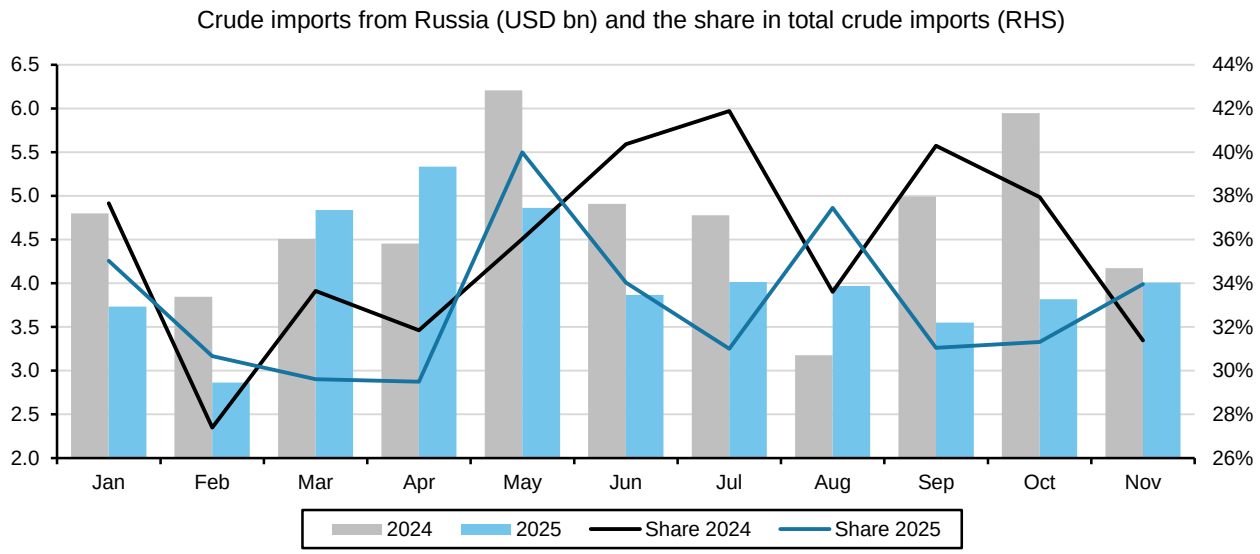
From a source of 15.1% of India's imports in 2024 to 16.4% in 2025, the trade deficit for this year is likely to increase 13% to $105 billion



Source: Ministry of Commerce, Bernstein Analysis

EXHIBIT 10: **At the same time, India has reduced its crude imports from Russia (heavily in recent months), though Russian crude still forms almost 33% of total crude imported into the country**

The imports have reduced by 6% on a full year basis, but the last 3 months have seen a 25% reduction from a year ago

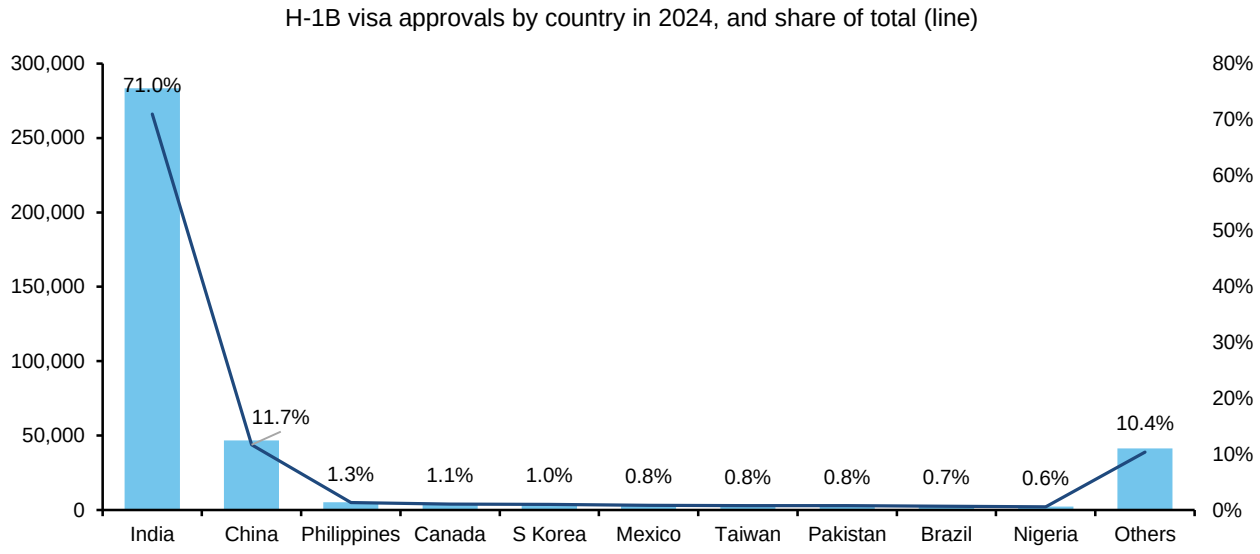


Source: Ministry of Commerce, Bernstein Analysis

#3 THE H1B CRACKDOWN

For over three decades, India's IT industry has powered its services exports. This booming industry has now found itself as the focal point of a wave of protectionism. From a lot of rhetoric to finally a $100,000 fee announcement for H1B, the US has demonstrated the intent that it can even act on these issues, and not merely restrict them to war of words. There are legal challenges to this order. But even if it fails to come to action, there's no denying the fact that 2026 does have the potential to bring fresh challenges for Indian IT industry in terms of margins, pressure of projects and an extended hiring freeze.

EXHIBIT 11: **India is a major beneficiary of H-1B program, with more approvals than all other economies combined**

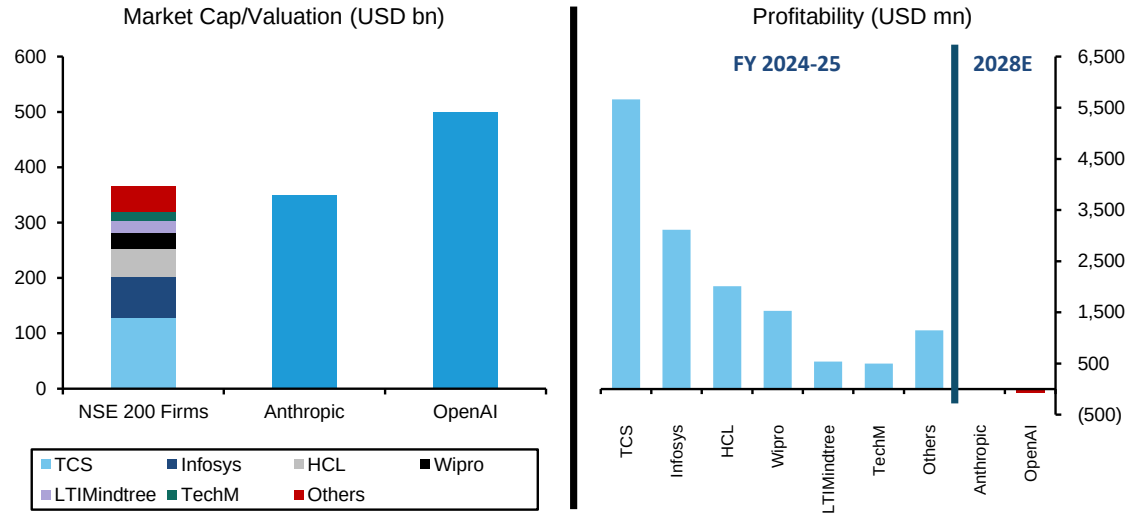


Source: Visual Capitalist, Bernstein Analysis

#4 A SYSTEMIC AI RISK?

This is something we can't help not notice. If valuations in India were concerning you a year back, then the valuations some US AI companies are getting, at a loss making stage, are getting. Taking nothing away from AI as a once-in-generation transformative event, the corporate adoption and profitability will certainly find it challenging to catch up to the insane pace at which valuations are increasing, and that has to pause at one point. The risk is whether it causes a global risk-off movement resulting in further flight of capital from India. Not to mention the ripple effects on hundreds of Indian startups currently riding the AI wave.

EXHIBIT 12: **Valuation and Profitability Metrics of IT companies in NSE200 index vs the two US AI giants**



Total 14 IT companies taken in the NSE200 index. Others include Persistent, Coforge, Mphasis, LTTS, KPIT, OFSS, Tata Elxsi, Tata Technologies. The profitability metrics include the available data. For Indian companies, it is the PAT for FY2024-25, for Anthropic, it is the free cash flows projected by the company for year 2028. For OpenAI, it is the operating profit for the same year
Source: Bloomberg, trendingtopics.eu, Bernstein Analysis

LEVERAGE AS A WAY TO DRIVE GROWTH - THE LIMITATIONS?

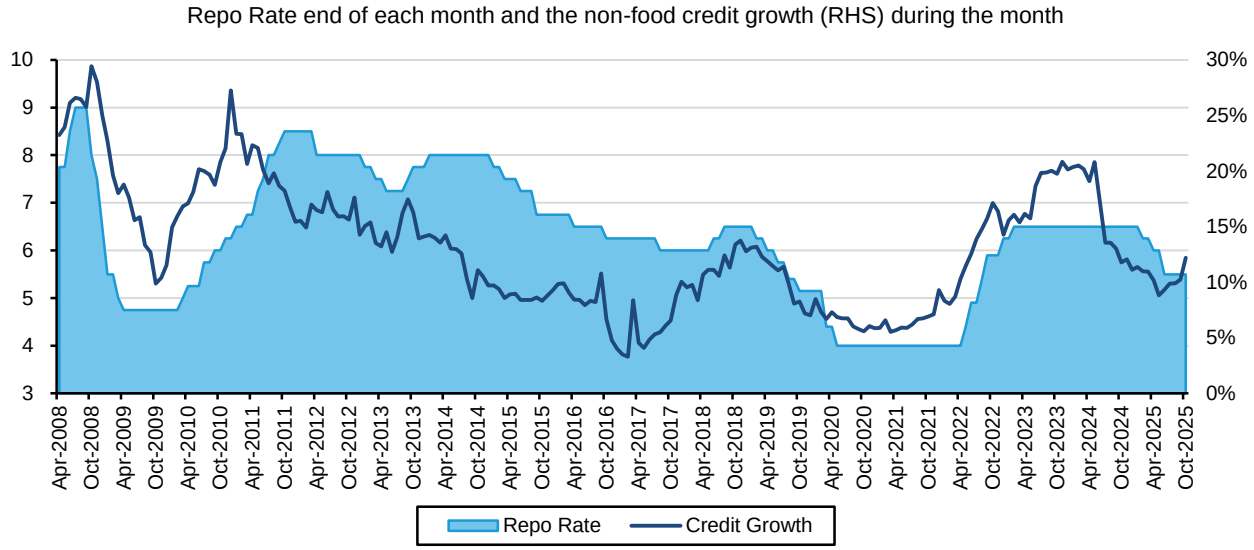
Much of 2025 went by without much happening on the credit front - with growth staying in single digits before making a rebound to 12% in October. While we're yet to see a sustained trend, what we see from previous cycles is rate cuts fail to propel credit growth immediately - and only result in increased credit with a lag. We've seen that post-GFC, in 2017-18 and even post-COVID. Moreover, we're likely to see more rate cuts (50 bps is our expectation given the current demand environment) so the trough is not yet here. Given this backdrop, a sustained higher credit growth may only occur by the second half of 2026. One thing is highly likely: this year will see the end of the rate cut cycle, both in the US as well as India. Though the Fed projections show a further 0.3 decline (3.4 to 3.1) in 2027, we believe it's likely that the rate cuts are done and dusted in this year and there are weak, but sufficient inflationary pressures from tariffs and other policy uncertainties to prevent a continued downward trajectory. This is, of course, in the absence of an unforeseen economic crash-like event.

After four successive months of non-food credit growth in single digit, the growth jumped to 10% in September and 12% in October. We've seen a pick-up in Micro and Small industries to levels above 2023-24 growth. Other than that, Hotels, NBFCs, Vehicle loans and priority sector has shown a significant uptick. We expect the micro/small and medium segment to continue leading the recovery, but not enough surge in services and personal loans to elevate overall credit growth to levels similar to those a couple of years back. All in all, the credit growth can see a small recovery - capped to 13-14% levels. Overall, as we also noted above, the private capex is unlikely to come back in a major way, but we nonetheless expect a mild improvement on the back of lower rates as well as more private participation as government investments peak. Overall, there is a limited effect that credit and interest rates can do to boost up the economy in 2026.

Another takeaway stemming from what we discussed on interest rates is the direction on rupee. 2025 was a year when a lot weighed on the rupee from tariffs to an elusive trade deal. 2026 can somewhat course correct that. We believe that at 50%, tariffs have only one direction for India which is southward. Also, a framework trade deal in some form will help the rupee, even though it may not help India's exports too much. Forex position remains healthy and any further periods of stress should be

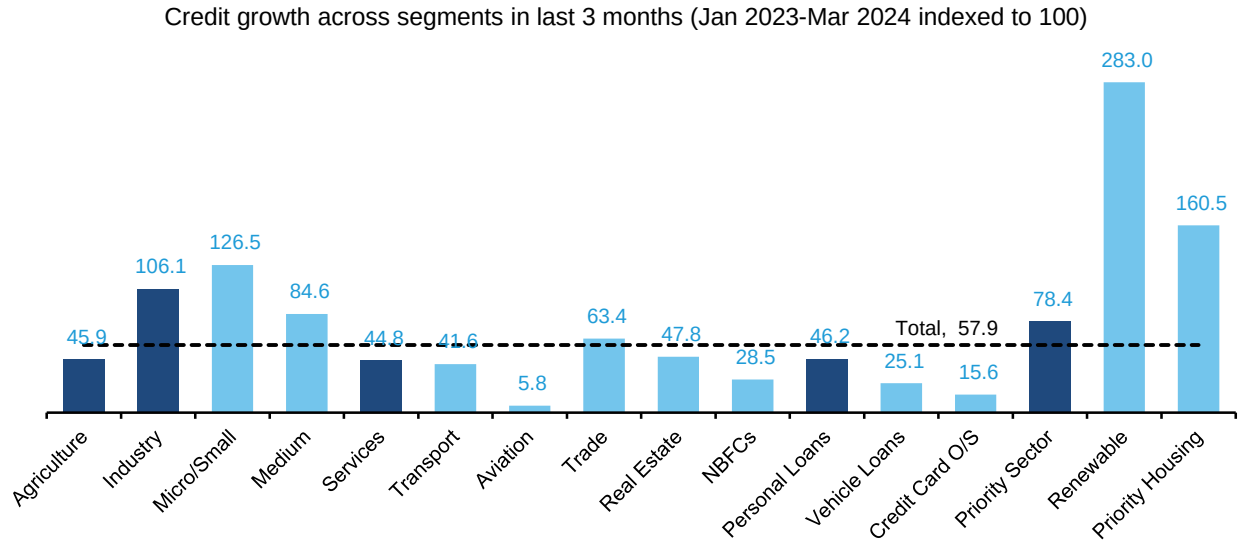
accompanied by RBI intervening in markets - given the stance seems to have changed in the past two weeks. The result is likely to be rupee being much more range bound this year, with the depreciation capped at 3-4%.

EXHIBIT 13: **Sharp repo rate cuts have not immediately helped credit growth historically, which has usually picked up with a lag**



Source: RBI, Bernstein Analysis

EXHIBIT 14: **Most sectors have seen a slow credit growth compared to the highs in 2023-24. Last three months, however, have marked an improvement**



Source: RBI, Bernstein Analysis

THE EARNINGS FRONT - THE EXPECTATION MISMATCH RISK

First, let's set some context: we noted in our 2025 outlook that margins were a significant player in most of the sectors when it came to driving FY2026 earnings. The overall topline growth for NSE200 firms for FY26 was at 8.6%, against an 18.1% PAT growth being factored in. We did note back then that a lot of FY2025 misses had slipped on to the next year, which made the numbers optimistic. After further misses - the FY2026 estimates are now down to 7.3% (topline) and 14.4% (bottomline).

Clearly, the PAT downgrade has been more severe than the towline, which has seen a relatively modest revision by c1%.

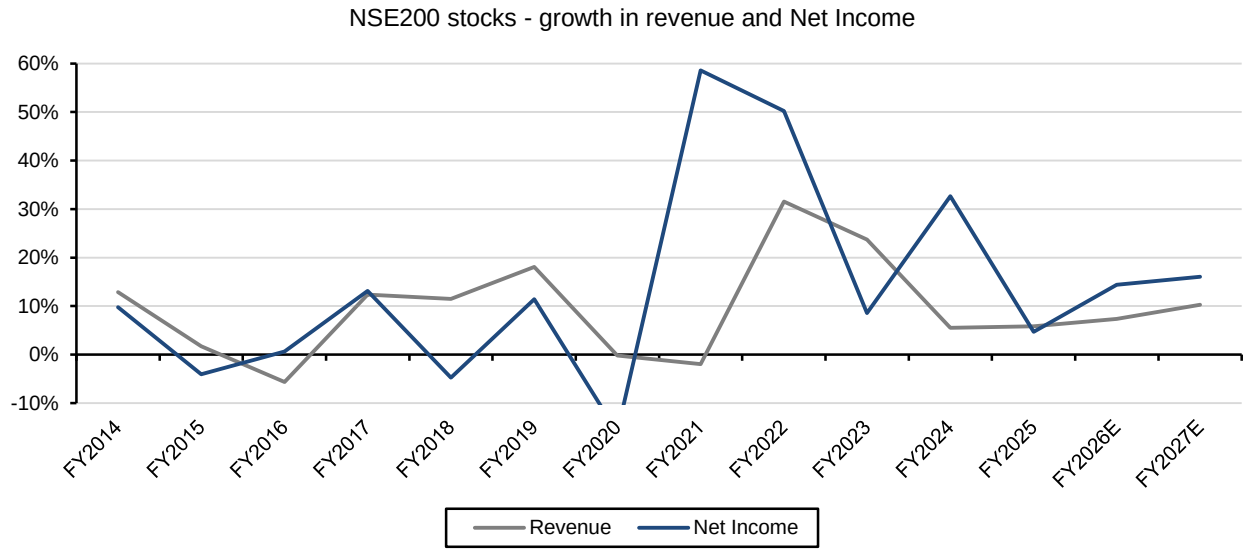
Fast forward to 2026, and the situation looks similar for FY27 - revenue growth of 10.3% against a bottomline growth expected at 16%. Overall, after a contraction of EBITDA margins by almost 200 bps in FY2026, FY27 is building in an expansion by 58bps. This may not look too much at a headline level, but hides several risks at sector levels. Let's delve into those.

WHY MARGIN PLAY WILL BE LIMITED IN NATURE?

A deep dive into the numbers for NSE200 stocks and we see that sectors like autos, cement, materials, and to some extent utilities are building in significantly higher PAT with lower topline growth, mostly at the back of higher margins (Exhibit 16). There are digital (consumer tech) and communications sector as well building high margins, but the risks here are less given many of these companies have delivered high margins before, and in the telecom space the tariff hikes in conjunction with lower capex given the aggressive 4G/5G roll-outs are behind us, provide a lot of safety buffer. But for the other sectors with significantly higher margin growth, we think 2026 will usher in a phase of no new tailwinds when it comes to costs. Crude has been weak for a long time now, and so are several other commodities except a few metals and rare earth minerals which have been part of a geopolitical tussle and have specific industries of use. Price will remain a sensitive issue for consumers given the revival so far has been more into the rural story rather than a surge in top tier consumption. Cement sector is seeing capacity expansion so price competitiveness may stay. Hence, apart from external facing sectors like IT/Healthcare or ones like staples or energy which are less price-elastic as well as factor in quite a low margin expansion, most other sectors see a risk due to the margin play seeing an upper bound during the year.

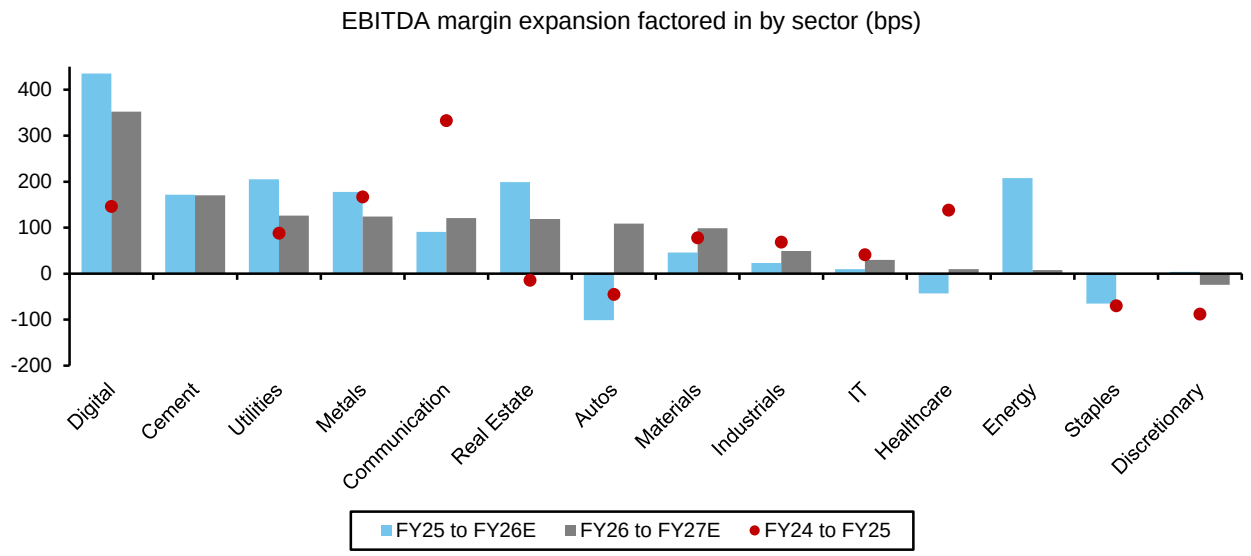
EXHIBIT 15: **Margins continue to be the implied drivers of earnings growth - with PAT exceeding revenue growth for the coming two years' estimates**

This was originally estimated for FY2025 as well, but didn't turn out to be the case



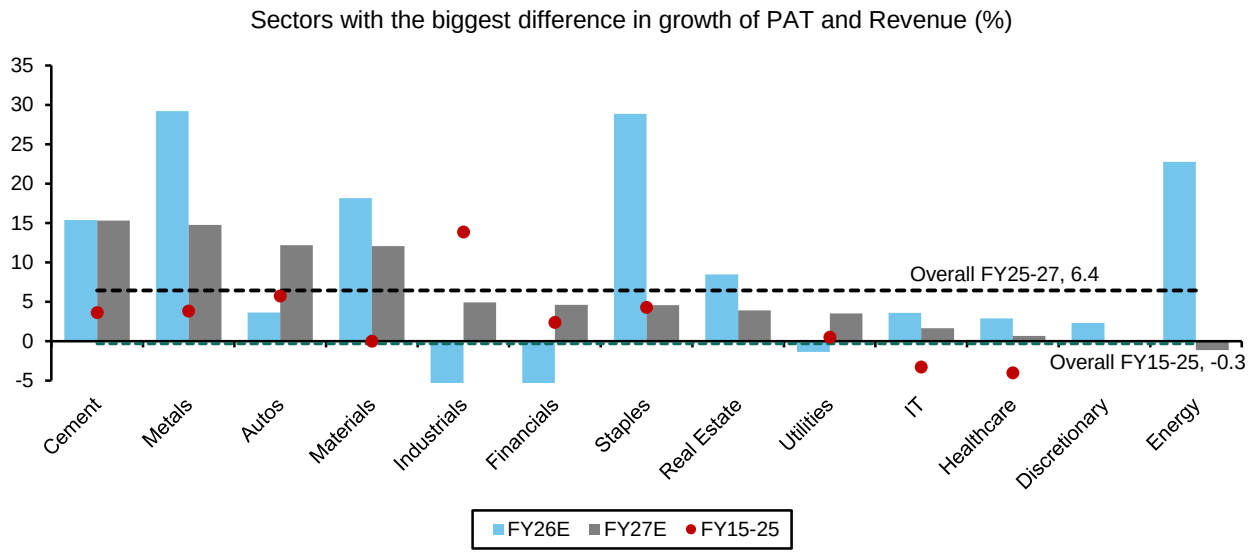
Constructed bottom up using NSE200 firms at present as well as some firms previously part of the index (total of 229 firms used for analysis)
Source: Bloomberg, Bernstein Analysis

EXHIBIT 16: **Many sectors see large margin expansions being factored in compared to what they have seen in the previous years**



Source: Bloomberg, Bernstein Analysis

EXHIBIT 17: **The next two years are building in a PAT growth exceeding topline growth by 6.4% overall, a difference higher than the recent averages**

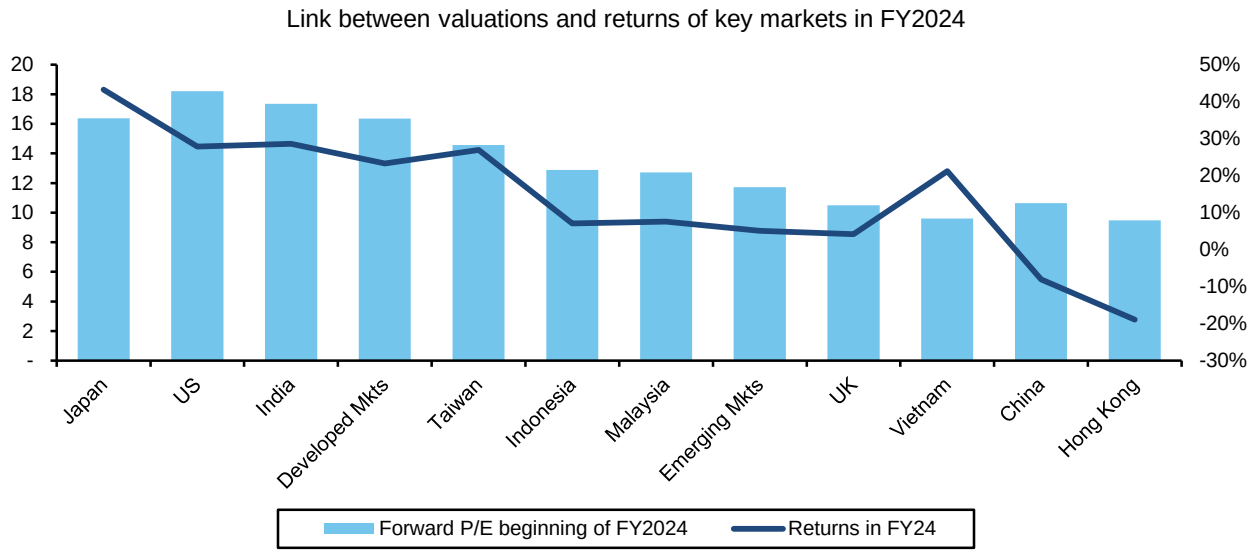


FY15-25 is calculated as the difference between simple averages of revenue and net income growth of constituent firms in respective sectors. At a sector level, the revenue and net income are aggregated
Source: Bloomberg, Bernstein Analysis

ON VALUATIONS AND DRIVERS

Finally, coming to most analysts' "pet-child": valuations. First, some context setting as to what we've seen in recent history. At the beginning of April 2023, market corrections during the past year had led to low valuations across countries. The US at 18x forward P/E was the costliest while the average for 15 economies we tracked (independent economies, not including composite indices like EM or developed markets) was at 12.6. The markets of most economies performed well that year (save for Hong Kong, China and UK) with average returns around 14% (Exhibit 18).

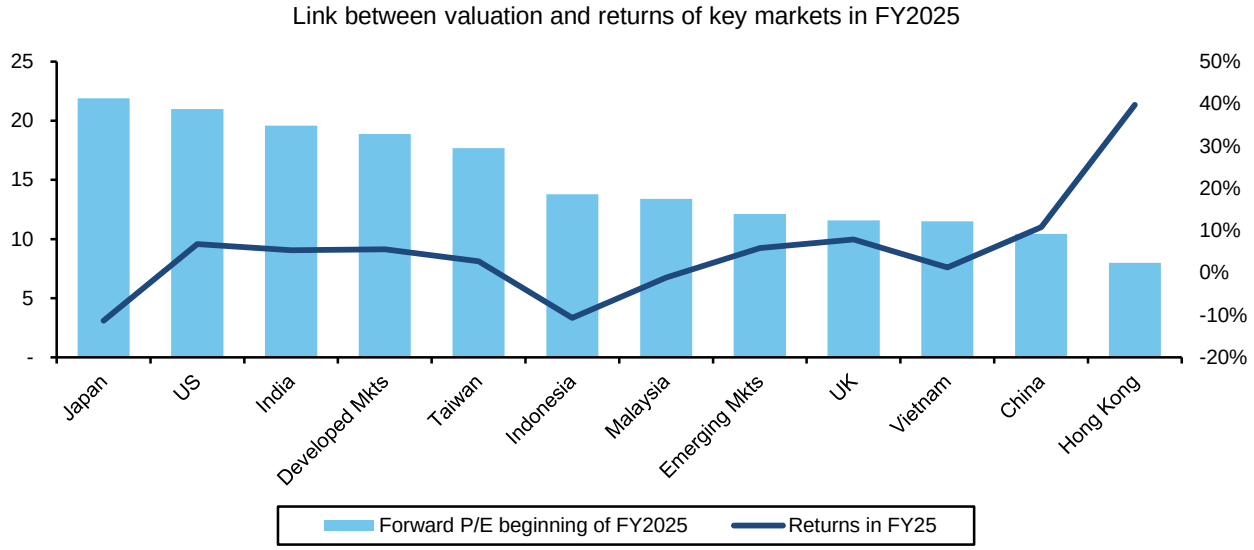
EXHIBIT 18: **In the euphoric phase of April 2023-Mar 2024, the average valuations were low. Relatively costlier names kept on giving good returns, a trend which was reflected in the benchmark indices too. The average returns across indices were 14%**



Local currency returns taken in the chart. For emerging and developed markets (MSCI index and Bloomberg index taken), the returns are in USD terms
Source: Bloomberg, Bernstein Analysis

A year down the line, the valuations across most economies had become richer - save for China, Korea, Hong Kong and France, all others had gotten costlier from around 13x to 15x forward earnings. US, Japan and India lingered above or near 20x. This was when the valuation angle did start to play its part in the returns, and we saw a better valuation-performance relationship in this phase. More notably, the underperformers of the previous era were coming back - particularly China and Hong Kong.

EXHIBIT 19: **From April 2024-Mar 2025, we saw the return of the high valuation-low returns relationship - and the average returns across indices dropped to 5%**

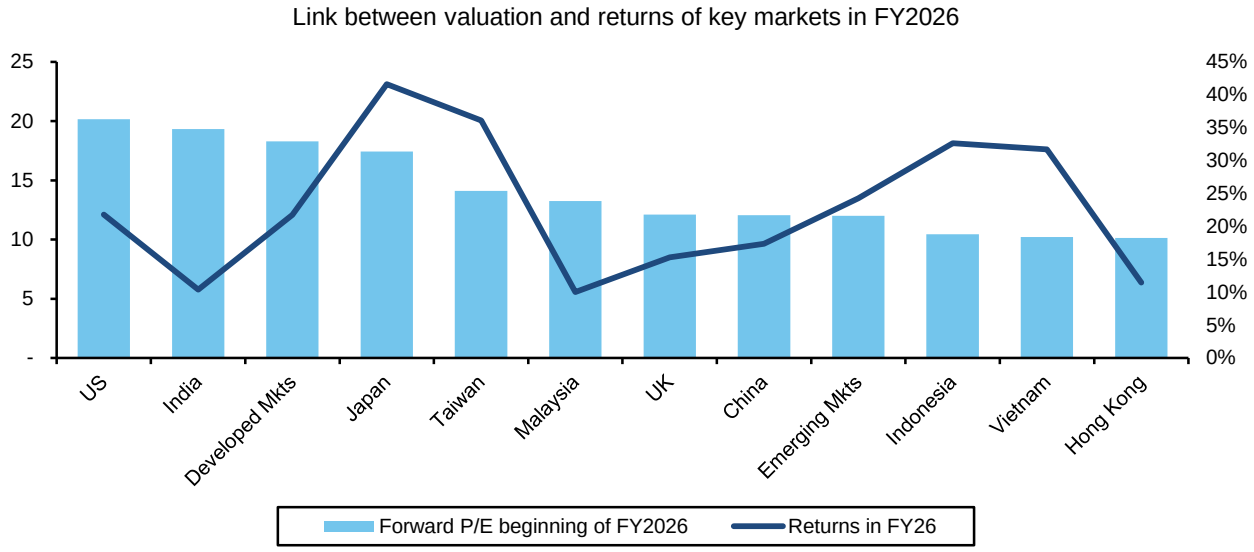


Local currency returns taken across all indices for the above calculations. Emerging markets and developed markets are in USD terms
Source: Bloomberg, Bernstein Analysis

MAJOR FII FLOWS NOT COMING - FOREIGN INVESTORS REMAIN "SPOILT FOR CHOICE"

The current phase which we are seeing is a part break from the trend. Valuations had receded somewhat in the beginning of FY2026 but were still costlier than they were at the beginning of FY2025. Despite that, all markets saw positive returns this year - so much so that India at 10% YTD returns looks like a low performer in Exhibit 20.

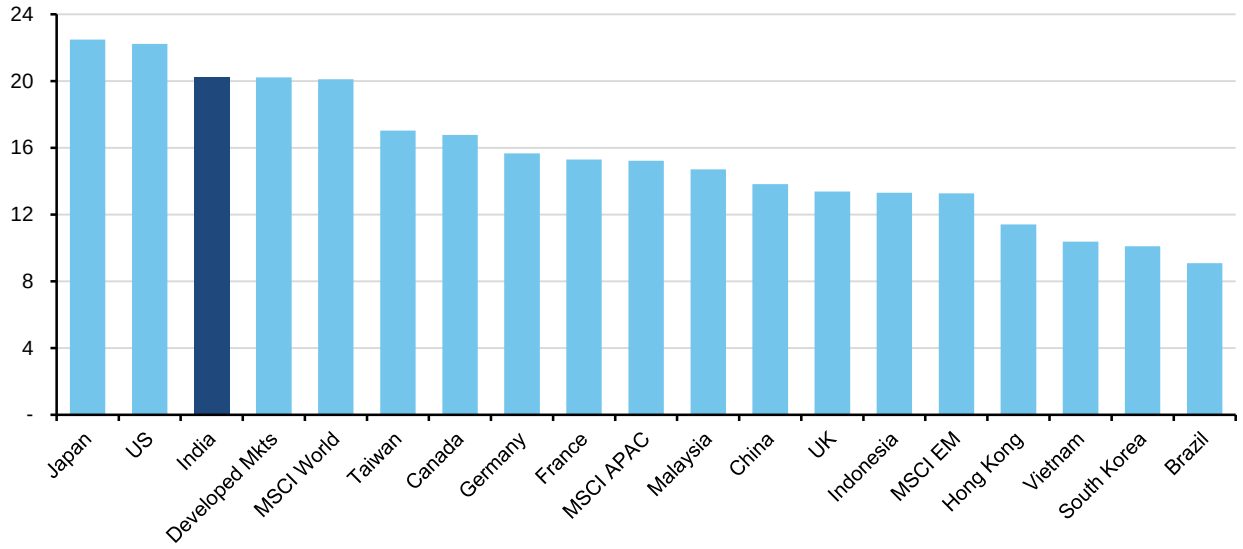
EXHIBIT 20: **This phase has seen a pattern break so far, with an otherwise continued linkage (lower valuations → higher returns) seeing exceptions in Japan, Taiwan and Hong Kong**



Source: Bloomberg, Bernstein Analysis

This has now increased valuations across markets to 15.1x currently, with India still sitting near the top in valuations. This situation is quite similar to what we saw in the beginning of FY25 when better valuation-returns linkage started to show its effect. What we see in Exhibit 21 is for foreign investors having ample "cheaper" opportunities in emerging markets - if the geopolitical volatilities recede for them to invest in emerging markets in a major way. Thus, from the valuations front, we don't see a major influx of FII money en route to India in 2026. We believe domestic flows will still rule the roost.

EXHIBIT 21: **Current valuations of benchmark indices of different economies**

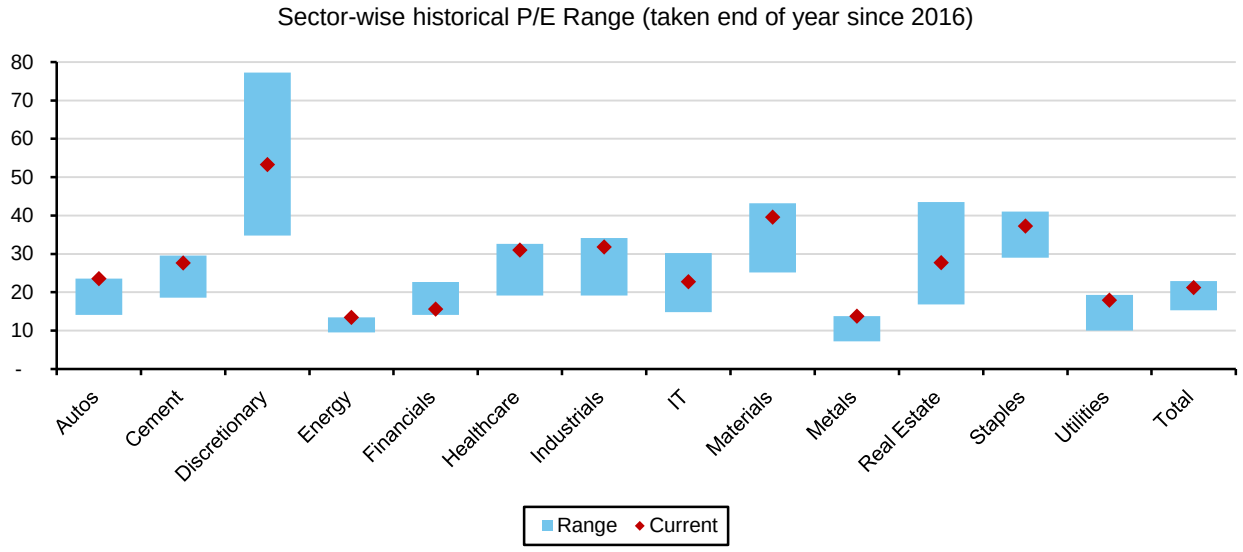


Blended Forward 12 month valuations used. Indices used: Nikkei (Japan), S&P500 (US), Nifty (India), Bloomberg Developed Markets, MSCI World, S&P/TSX (Canada), TWSE (Taiwan), DAX (Germany), CAC40 (France), MSCI APAC, FTSE Bursa (Malaysia), Shanghai Composite (China), FTSE100 (UK), Jakarta Stock Exchange (Indonesia), MSCI EM, Ho Chi Minh (Vietnam), KOSPI (Korea) and Ibovespa (Brazil)
Source: Bloomberg, Bernstein Analysis

SECTORAL VALUATIONS - COMFORT LIMITED TO 3-4 SECTORS

Despite a dull year, it may surprise you that most sectors still sit atop historic high valuations. A lot of it is owing to the fact that forward earnings estimates too have not grown at the pace they were expected to a year back. Among sectors which have seen meaningful valuation tempering down from last year, we have IT, Communication, Discretionary and Industrials. Staples and Healthcare too have seen a mild downward movement from what used to be record valuations 1-2 years back. The valuation comfort even sectorally is limited.

EXHIBIT 22: **Despite a relatively calm market this year, many sectors are still unlikely to get valuations support**



Constructed bottom up from 229 companies - 200 from NSE200 and few others. Forward PE at the end of each year is taken for last 10 years - eg P/E based on March 2024 earnings is taken as on December 2022. Based on all collated P/E values this range is taken
Source: Bloomberg, Bernstein Analysis

NIFTY TARGET AND SECTOR RECOMMENDATIONS

We're ending the year with Nifty showing around 15% EPS growth. A large part of that growth is due to exceptional items, adjusting for which the growth drops down to 4%, the lowest since 2020. Interestingly, the EPS growth factored in for next year is a modest 6% (if one were to look at gross EPS this year including exceptionals. Adjusting for that, growth is 11.4%). We haven't seen this bearish growth assumption for Nifty since 2018, and there's definitely a possibility of upward surprise, though limited in nature due to all aspects discussed above. Another aspect is Nifty's trailing P/E, which has been reducing for 3 years in a row from 23.5 at the end of 2023 to 21.6 today, which also signals the gradually weakening sentiment.

With Nifty at 26,150 we ended year 2025 with the index at 20.4x the one year forward earnings. Assuming a 15% EPS growth (after adjusting for exceptionals this year) for 2026/FY27 and 12% next year - a scenario very plausible, and accordingly a 19x 2 year forward P/E given the premium erosion in the last 3 years, we reach our Nifty target of 28,100 by the end of 2026 - which is a modest 7.6% returns in the year, significantly lesser than the 11% we have seen in 2025. The 19x 2 year forward P/E is also quite realistic given it is slightly lower than the recent years and still higher than subdued years like 2019 or 2022.

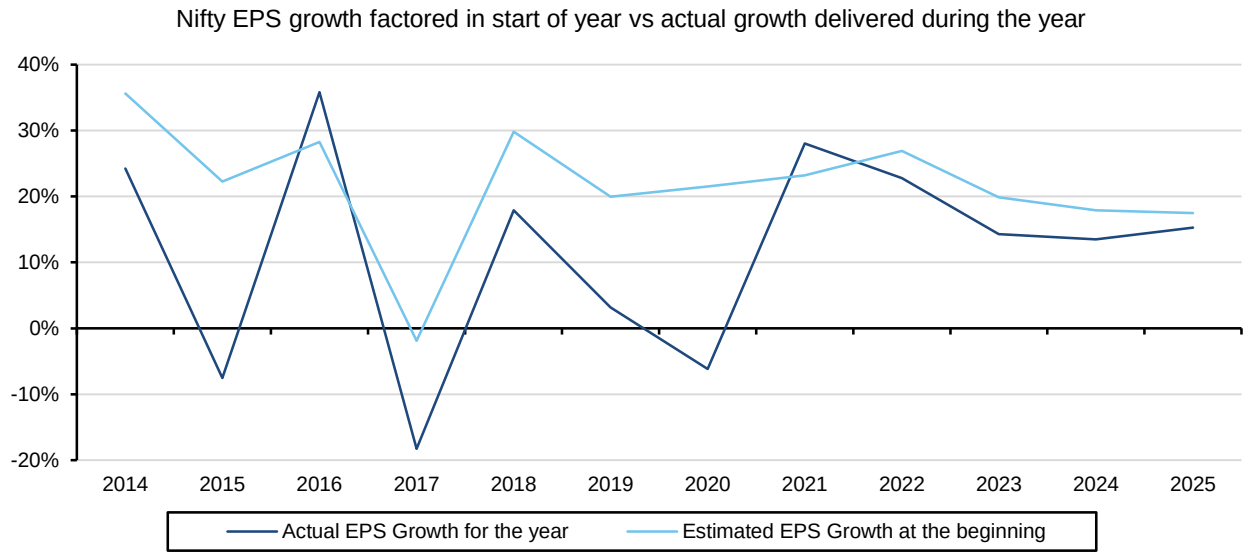
As for downside risks, they seem almost evenly balanced to the upside, as cutting EPS growth to 8% each over the next two years and reducing the multiple to 18.5x (in line with what bearish years in recent history have yielded - 2022 ended at 18.6x) gives a target of 24,800, which is a 5% contraction from the current levels.

It must be noted that in our report late November we had presented a case for India vs a few other countries on relative returns and room for India to perform after 1-2 years of underperformance. Our India view - and Nifty targets are however absolute calls - and should not be read as relative to other markets as we do not provide views on other countries.

This sums up our 2026 outlook in a nutshell: too much of everything, but no woven story kicks, and we get a fairly modest year by the standards India has shown in recent history.

EXHIBIT 23: **Nifty has missed its EPS targets in 10 out of the last 12 years**

2016 and 2021 were the only exceptional performance years where Nifty slightly outperformed the expectations set in at the start of the year



Source: Bloomberg, Bernstein Analysis

We make a slight change to our sector view in line with the evolving equity market scenario in India. Given the large-caps apart from Nifty50 index have also become a dominant force - we now base our sector weights on the NSE100 index rather than the Nifty 50 index. Our sector view is provided in Exhibit 24. We make several changes to our calls from 2025. Do however note that our sector weights will be reviewed actively through the year - unlike our market calls that tend to be sticky.

- IT and Digital Services: We move to a slight overweight on IT services given that 2026 can bring some stability to a heavily beaten down sector this year, while retaining bullish stance on Digital (which marks an entry into Nifty 50 courtesy Eternal).

- Energy: With no major demand pattern changes and no new pricing catalyst in sight, we move to underweight on energy.
- Materials: Despite soft demand and risk of cheap Chinese imports, we still retain equal weight on metals (and broader materials) as policy action plus supply constraints can be supportive, while geopolitical tussle on certain critical metals can help too.
- Industrials: We retain our underweight on Industrials, but stay overweight on Defence subsector.
- Healthcare and utilities: We retain equal weight on Healthcare and Utilities.
- We retain overweight on Financials and Telecom.
- We introduce Real estate as an OW sector.
- Consumer: With most catalysts past, we turn equal-weight on staples, but retain overweight on Durables and select discretionary areas. Autos are retained equal weight. Consumption catalysts will likely fade through the year but should remain buoyant in the near term.

A bit more on our calls:

Following our broader stance of having some exposure to laggard sectors, we have upgraded IT and Real estate, two of the worst performers. For IT - bulk of the negative news flow is behind and earnings expectations are modest while valuations have scaled down from the peaks. For Real estate - we see falling rates as a key support.

Consumption is still preferred, but we see the demand fading through the year. Staples - lacks incremental catalysts and is likely to get more disrupted by a further scale up in Quick commerce (with fund-raising having been recently completed by one of the top 2 players and likely more raising from the others). Autos as well has good near term momentum, but stocks are no longer cheap on valuations. Our durables overweight call did not work last year due to weak summers - however, as inventories clear out we see a case for outperformance this year. We are turning a bit cautious on travel sector due to the ongoing disruptions and capacity issues. Overall in consumption - a costly sector, we are investing in “momentum” rather than on justification of structural (or sustained) drivers.

Industrials - performance has been lackluster last year and so has been the case for utilities. We see some private sector capex, some support from Government so overall it's not heading into a deep downturn. We however still see valuations rich in pockets. At least at the beginning of this year we are still preferring consumption momentum over Industrials. One can call it as a tactical view for now.

On externally facing sectors - or export oriented names, we see continued volatility. IT is preferred over Healthcare. While Rupee depreciation presents margin support near term for such sectors - it's not material enough for one to consider as an investment input. Healthcare growth rates, based on consensus still looks modest. As India - US trade treaty is announced we see externally facing sectors to see a short-lived rally. We would position IT for that as risk of further policy actions would fade as India - US relations improve. We believe none of this will sustain though, as India US trade treaty even after its approval will face constant scrutiny and risk of changes. Even in such a scenario - a sector with decent cash flows, fair valuations and low expectations might hold up and IT for now seems to fit that narrative.

Telecom - one of our overweight sectors which continues from last year has seen a good strength in earnings and stock performance. We however continue to see price catalysts as one of the larger telecom businesses will likely see the commencement of a listing process ensuring that sector dynamics stay intact. We were tempted to book profits here but retained it as overweight for this reason and for its overall secular credentials and earnings catalysts during the year.

Financials sector is retained overweight - despite its good performance last year. We see earnings story led by some recovery in credit growth along with still favorable valuations to be the driver.

EXHIBIT 24: **Bernstein Sector View- January 2026**

						Earnings growth (%)						Sector PE				
Sector	Market cap (bn$)	FF market cap (bn$)	Index Weights	Weight Stance	Reco. Weight	FY15-22 CAGR	FY23A	FY24A	FY25A	FY26E	FY27E	FY15-22 Avg	12M Fwd	FY25A	FY26E	FY27E
IT	**361**	**153**	**10.7%**	**Over**	**11.0%**	**10%**	**5%**	**6%**	**5%**	**10%**	**10%**	**22.3**	**24.5**	**28.7**	**26.3**	**23.9**
Core IT	321	124	8.7%	Over	8.9%	9%	7%	4%	5%	10%	8%	21.9	22.3	26.4	23.7	21.9
Digital Services	40	28	2.0%	Over	2.1%	47%	na	na	10%	21%	149%	101.1	115.5	239.9	245.7	98.5
Energy	**341**	**130**	**9.1%**	**Under**	**8.7%**	**13%**	**-2%**	**49%**	**-24%**	**19%**	**4%**	**13.7**	**14.3**	**14.8**	**14.8**	**14.2**
Energy ex reliance	105	26	1.8%	Under	1.4%	12%	-14%	84%	-34%	19%	-1%	9.7	7.7	8.3	7.7	7.8
Reliance	236	104	7.3%	Equal	7.3%	15%	20%	6%	0%	18%	12%	20.2	23.2	24.3	25.3	22.6
Financials	**887**	**491**	**34.3%**	**Over**	**34.7%**	**15%**	**44%**	**25%**	**18%**	**5%**	**14%**	**26.5**	**15.2**	**16.6**	**16.9**	**14.8**
Banks	518	368	25.7%	Over	25.9%	16%	30%	32%	15%	1%	14%	48.9	14.4	14.2	15.9	14.0
Real Estate	31	8	0.6%	Over	0.7%	11%	-12%	73%	66%	11%	23%	44.0	30.4	41.2	35.6	29.0
Others	338	115	8.0%	Over	8.1%	12%	85%	12%	22%	12%	15%	18.7	16.0	20.5	17.8	15.5
Consumer Staples	**245**	**101**	**7.0%**	**Equal**	**7.0%**	**13%**	**26%**	**5%**	**1%**	**11%**	**14%**	**44.0**	**40.8**	**48.8**	**45.2**	**39.7**
Industrials	**283**	**115**	**8.0%**	**Under**	**7.5%**	**5%**	**66%**	**59%**	**18%**	**10%**	**23%**	**33.2**	**32.6**	**38.5**	**38.1**	**31.0**
Consumer Discretionary	**310**	**140**	**9.8%**	**Equal**	**9.8%**	**6%**	**67%**	**36%**	**12%**	**29%**	**18%**	**38.1**	**33.5**	**37.9**	**37.9**	**32.2**
Autos	242	108	7.5%	Equal	7.5%	5%	61%	38%	11%	28%	17%	32.6	29.4	31.1	33.2	28.4
Discretionery Ex Autos	69	32	2.3%	Under	1.1%	22%	122%	22%	19%	32%	22%	89.0	61.4	87.9	71.7	58.7
Durables				Over	1.2%											
Media/Telecom	**141**	**62**	**4.3%**	**Over**	**4.6%**	**-8%**	**182%**	**44%**	**38%**	**68%**	**42%**	**74.3**	**33.3**	**60.7**	**44.0**	**30.9**
Materials	**291**	**117**	**8.1%**	**Under**	**8.0%**	**31%**	**-51%**	**-5%**	**11%**	**43%**	**25%**	**22.1**	**22.5**	**33.8**	**26.8**	**21.3**
Cement	86	38	2.6%	Equal	2.6%	22%	-32%	31%	-17%	42%	30%	39.8	41.1	70.1	50.3	38.7
Chemicals	59	22	1.6%	Under	1.5%	12%	32%	30%	-14%	28%	16%	63.9	55.7	71.0	62.2	53.9
Metals	146	57	3.9%	Equal	3.9%	34%	-57%	-16%	24%	46%	26%	13.3	14.9	21.2	17.8	14.2
Utilities	**161**	**60**	**4.2%**	**Equal**	**4.2%**	**17%**	**0%**	**28%**	**-4%**	**8%**	**12%**	**15.9**	**18.4**	**20.9**	**20.0**	**17.9**
Health Care	**137**	**64**	**4.5%**	**Equal**	**4.5%**	**9%**	**16%**	**23%**	**15%**	**8%**	**9%**	**32.7**	**33.0**	**36.5**	**35.3**	**32.3**
NSE 100	**3,159**	**1,433**	**100%**		**100%**	**8.1%**	**12.0%**	**15.5%**	**21.2%**	**16.3%**	**11.1%**	**22.9**	**20.1**	**21.5**	**20.1**	**18.1**

Source: Bloomberg, Bernstein Analysis

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The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
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- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- Neutral (N): Stock will perform in line with the market index to within +/-10 pp

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Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

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Outperform	BUY	51.4%	16.8%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	34.7%	18.7%
Underperform	SELL	13.9%	13.4%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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